



ASIC
Australian Securities &
Investments Commission

Explanatory Statement

ASIC Corporations (Product Intervention Order—Short Term Credit) Instrument 2022/647

This is the Explanatory Statement for ASIC Corporations (Product Intervention Order—Short Term Credit) Instrument 2022/647 (the *instrument*).

The Explanatory Statement is approved by the Australian Securities and Investments Commission (*ASIC*).

Summary

1. This instrument is a product intervention order made under Part 7.9A of the *Corporations Act 2001* (the *Act*). The instrument prohibits short term credit providers, directors of short term credit providers and their associates from causing, authorising or providing credit to a retail client, and imposing or providing for certain fees, interest and charges paid or payable by a retail client, in relation to a class of financial products (as set out in paragraph 10 below) that ASIC is satisfied:
 - (a) is, and is likely to be, available for acquisition by issue to persons as retail clients; and
 - (b) has resulted in, and is likely to result in, significant detriment to retail clients.

Legislative authority

2. The instrument is made under subsection 1023D(3) of the Act, with the Minister's written approval under paragraph 1023M(b) of the Act.
3. Under subsection 1023D(3) of the Act, if ASIC is satisfied that a class of financial products:
 - (a) is, or is likely to be, available for acquisition by issue, or for regulated sale, to persons as retail clients (whether or not it also is, or is likely to be, available for acquisition by persons as wholesale clients); and
 - (b) has resulted in, or will or is likely to result in, significant detriment to retail clients;

ASIC may, by legislative instrument, order that a person must not engage in specified conduct in relation to the class of financial products, either entirely or except in accordance with conditions specified in the order.

4. ASIC is satisfied that the class of financial products to which the instrument applies:
 - (a) is, and is likely to be, available for acquisition by issue, to persons as retail clients; and
 - (b) has resulted in, and is likely to result in, significant detriment to retail clients.
5. A description of the significant detriment is set out in Attachment A, the Product Intervention Order Notice.
6. Under paragraph 1023M(b) of the Act, if a product intervention order ceases to be in force or is revoked, ASIC must not remake the order, or make an order in substantially the same terms, unless the Minister approves, in writing, the remaking or making of the order.
7. The instrument is made in substantially the same terms as *ASIC Corporations (Product Intervention Order—Short Term Credit) Instrument 2019/917 (the 2019 instrument)*.
8. On 4 July 2022 ASIC received written approval from the Minister to make the instrument, being an instrument in substantially the same terms as the 2019 instrument.
9. The instrument is a disallowable legislative instrument.

Purpose of the instrument

10. The purpose of this instrument is to reduce the risk of significant detriment to retail clients resulting from a class of financial products that consists of short term credit facilities where the short term credit facility is provided:
 - (a) by the short term credit provider to a retail client; and
 - (b) in conjunction with a separate collateral contract between the retail client and an associate of the credit provider, pursuant to which the associate charges the retail client significant fees or other charges.

Operation of the instrument

Name

11. Section 1 of the instrument provides that the instrument is *ASIC Corporations (Product Intervention Order—Short Term Credit) Instrument 2022/647*.

Commencement

12. Section 2 of the instrument provides that the instrument commences on a day that is the second day after the instrument is registered on the Federal Register of Legislation.

Duration of the product intervention order

13. Subsection 1023G(2) of the Act provides that a product intervention order remains in force for 18 months or any shorter period specified by the regulations or any shorter period specified in the order. No relevant shorter period has been specified in the regulations or order.

14. The instrument remains in force for 18 months. The duration of the instrument may be extended beyond 18 months but only in accordance with section 1023H of the Act (which requires a declaration, by legislative instrument, and written approval by the Minister).

Legislative instrument and primary legislation

15. The subject matter and policy implemented by this instrument is more appropriate for a legislative instrument rather than primary legislation because:
- (a) the instrument utilises specific powers given to ASIC by Parliament that are intended to be used proactively to reduce the risk of significant detriment to retail clients resulting from a class of financial products. Commencing in April 2019, Part 7.9A of the Act sets out a framework and the procedural requirements for ASIC to make, amend, extend, remake and revoke product intervention orders;
 - (b) the instrument is a timely way of reducing the risk of significant detriment to retail clients resulting from a class of financial products that ASIC has identified. A product intervention order may remain in force for up to 18 months and can only be extended by ASIC with the Minister's written approval, following a report to the Minister from ASIC on whether the extension should be made;
 - (c) following public consultation and after ASIC assessed that the 2019 instrument operated efficiently and effectively to reduce the risk of significant detriment resulting from the class of financial products, ASIC considers it is appropriate for the instrument to be made in substantially the same terms as the 2019 instrument;
 - (d) the Minister has considered and approved the making of the instrument in substantially the same terms as the 2019 instrument; and
 - (e) the product intervention powers in Part 7.9A of the Act allow ASIC to amend a product intervention order, should the need arise, to respond in a flexible and timely way to changes to product features, issuance and sales practices, and significant detriment to retail clients.

Authority

16. Section 3 of the instrument provides that the instrument is made under subsection 1023D(3) of the Act.

Interpretation

17. The instrument defines the following key terms:

the Act

associate

collateral contract

contract

credit fees and charges

interest charges

National Credit Code

short term credit facility

short term credit provider

Application of the conditional prohibitions

18. The instrument prohibits short term credit providers and their directors, and associates of the short term credit providers and their directors, from causing or authorising prohibited conduct.
19. The condition in section 5 of the instrument prohibits the amount of credit fees and charges that may be imposed or provided for under the short term credit facility and the fees and charges (excluding interest charges) that may be imposed or provided for under a collateral contract (or a contract, arrangement or understanding belonging to a series or combination that constitutes the short term credit facility) exceeding the maximum amount of credit fees and charges permitted under subsection 6(1) of the National Credit Code (the **Code**).
20. The condition in section 6 of the instrument prohibits the amount of interest charges that may be imposed or provided for under the short term credit facility and the amount of interest charges that may be imposed or provided for under a collateral contract (or a contract, arrangement or understanding belonging to a series or combination that constitutes the short term credit facility) exceeding the maximum amount of interest charges permitted under subsection 6(1) of the Code.
21. “Associate” is defined by reference to sections 11 and 15 of the Act. This will ensure that the coverage is broad and will extend to a related body corporate as well as a person who is acting in concert with the primary person, or a person who

is or proposes to become associated, whether formally or informally, in any other way in respect of the provision of short term credit. The exclusions in section 16 of the Act do not apply. The purpose of the broad coverage is to ensure that avoidance opportunities through phoenixing are minimised.

22. The instrument relates to short term credit facilities and collateral contracts between a retail client and the short term credit provider and/or associate, where the fees, charges and interest are paid or payable by the retail client. If the retail client is not a party to a particular contract (for example a contract between a short term credit provider and a third party) the contract will not be considered a short term credit facility or collateral contract for the purpose of the instrument.
23. The instrument does not prohibit persons from providing short term credit facilities relying on the exemption in subsection 6(1) of the Code, rather it simply limits the total fees, charges and interest that can be charged under the short term credit facility and collateral contract to not exceed the limits prescribed in subsection 6(1) of the Code. Where a short term credit provider does not purport to rely on subsection 6(1) of the Code in relation to a short term credit facility, the prohibitions contained in subsections 5(1)–(4) of the instrument do not apply to the facility.
24. The instrument only applies in relation to short term credit facilities entered into on or after the commencement of the instrument.

Consultation

25. ASIC has conducted consultation in accordance with section 1023F of the Act, as section 17 of the *Legislation Act 2003* does not apply.
26. On 9 December 2021 ASIC published Consultation Paper 355: *Product intervention orders – Short term credit and continuing credit contracts (CP 355)* proposing to make the short term credit product intervention order (in substantially the same terms as the 2019 instrument) and the continuing credit contracts product intervention order.
27. In response to CP 355 ASIC received nine submissions.
28. The submissions to CP 355 were taken into account when making the instrument. The submissions are publicly available on ASIC’s website, excluding confidential submissions.

Statement of Compatibility with Human Rights

29. The Explanatory Statement for a disallowable legislative instrument must contain a Statement of Compatibility with Human Rights under subsection 9(1) of the *Human Rights (Parliamentary Scrutiny) Act 2011*. A Statement of Compatibility with Human Rights is in Attachment B.

Statement of Compatibility with Human Rights

This Statement of Compatibility with Human Rights is prepared in accordance with Part 3 of the *Human Rights (Parliamentary Scrutiny) Act 2011*.

ASIC Corporations (Product Intervention Order—Short Term Credit) Instrument 2022/647.

Overview

1. The instrument is a product intervention order made under Part 7.9A of the *Corporations Act 2001*, which prohibits specified conduct in relation to the provision of short term credit except in accordance with certain conditions.
2. The purpose of this instrument is to reduce the risk of significant detriment to retail clients resulting from a class of financial products that consists of short term credit facilities where the short term credit facility is provided:
 - (a) by the short term credit provider to a retail client; and
 - (b) in conjunction with a separate collateral contract between the retail client and an associate of the credit provider, pursuant to which the associate charges the retail client significant fees or other charges.

Assessment of human rights implications

3. This instrument does not engage any of the applicable rights or freedoms.

Conclusion

4. This instrument is compatible with the human rights and freedoms recognised or declared in the international instruments listed in section 3 of the *Human Rights (Parliamentary Scrutiny) Act 2011*. ~~Dear Sir or Madam:~~

~~———Thank you for your interest in renting the Piankatank Ruritan Club. Enclosed you will find a contract, rules for your use of the building, and an ABC banquet application (if requested). The contract and the building rules should be read in their entirety. If you have questions, call (804) 990-0648. Please note, in particular, the liability insurance information clause of the contract (17). After you have completed the contract, return it with your security deposit to:~~

~~Piankatank Ruritan Club
P. O. Box 11
Hudgins, Virginia 23076~~

~~After ensuring the contract is complete, we will return a signed copy for your records. You may keep the building information for later use. The rental fee is due to the Piankatank Ruritan club at the above address Four (4) weeks prior to the event: the ABC license (if needed) is due Four (4) weeks prior to the event. The building manger will contact you regarding any last minute details.~~

~~We appreciate your interest in our facility, we are happy to assist you in making your event a successful one.~~

Sincerely,

Building manager

Reminders:

Signed and initialed contract	due with the security deposit
Rental payment	due 4 weeks prior to event
ABC license	due 4 weeks prior to event

Rental Rules

~~Information for your use of the Piankatank Ruritan building~~

- ~~Activities in the facility will be limited to those legal activities deemed appropriate by the club.~~
- ~~The ABC regulations state that anyone under the age of 21 years old **cannot legally** consume alcoholic beverages. As the lessee of the Piankatank Ruritan building, **YOU** are responsible for enforcing the legal drinking age. The person(s) renting the facility are responsible for getting all applicable permits and paying any required fees. An ABC banquet~~

license is required if alcohol, for sale or not, is to be consumed in the building. Failure to get a banquet license will result in **no alcoholic beverages** permitted in the building. An application is available at any ABC store. All alcoholic beverages must be consumed inside the building.

3. ~~The building manager will hold verbal confirmation of event dates for (2) weeks).~~ **A minimum security deposit of \$250.00** is required to reserve your event date. The security deposit and completed contract should be forwarded to the Piankatank Ruritan club within 2 weeks of initial phone confirmation. Event approval will be confirmed within 72 hours of receipt of security deposit and executed contract by returning to you the signed contract.

4. ~~The security deposit will be returned within 10 days after rental, providing no additional cleaning or damage occurred. If a deposit is not refunded in full, a letter will be sent with the check itemizing the charges deducted for cleaning and/or damage repair costs. The lessee is responsible for any additional costs of cleaning and or damage repairs over and above the deposit.~~

5. ~~The security deposit will be returned for cancellations if the club is notified in writing 60 days prior to rental. The postal mark on the envelope will determine the date sent. Security Deposit will be retained for cancellations less than 60 days prior to event.~~

6. ~~Rentals will **not** be transferred to other individuals or organizations without written notice to the building manger.~~

7. ~~Absolutely **no** decorations will be hung, attached or in any way be fixed to the walls or ceiling of the facility, special hooks will be provided by the club to hang items on the wall's picture rail. **Do not nail, tack or tape any items to the walls.**~~

8. ~~A phone for **local use only** will be provided. Long distance calls will be by credit card or by reverse charge only.~~

9. **Rent in full is due four (4) weeks prior to the event. All ABC banquet licenses and other attachments are due four (4) weeks prior to the event.** The Piankatank Ruritan club will staple the licenses, insurance statement and other forms to your contract for permanent retention.

10.—— In the event of inappropriate activities or behavior, the club manager has the right to immediately terminate the rental (event) without refund.

11.—— The recommended capacity of the building is 250.

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12.—— The lessee is responsible for removal of all trash from the facility at the end of the event. The Ruritan club will provide trash cans and liners. All bagged trash is to be placed in the dumpster provided by the Ruritan club. The lessee will also be responsible for picking up any trash that is outside the building and in the parking lot.

13.—— For weddings, only bird seed no rice maybe thrown at the wedding party and only outside the building. Bubbles or sparklers are permitted outside the building only. No confetti and or glitter is allowed in the building.

14.—— If anything is spilled on the floor during any event, please clean up the spill immediately. Once the event is over please re-mop the same area to prevent any future floor issues.

15.—— If additional time is required for decorating, set up or wedding rehearsals the night or day before an event, there will be a charge of \$75.00. The early day fee must be arranged at time of reservation. Alcoholic beverages will not be consumed during setup without an ABC license for that day.

16.—— Liability clarification of rental contract clause: **The Piankatank Ruritan Club's liability insurance does not cover rental events, event participants, or attendees whether invited or not.** Lessees are responsible for ensuring their sponsoring organization or homeowners policy covers each rental event and their patrons. The club will not assume responsibility for any items left in the building. Lost, misplaced or other items left over 10 days will become property of the club and donated.

17.—— Lessees will be allowed to use the kitchen to warm up food for any function however the grill and the deep fat fryer are not for use. Cleanup of the kitchen stoves, other items used and the general kitchen area and floor is a requirement of the lessee. Please make sure no food is left in the ovens and all cooking appliances have been turned off before closing the building after your event. (Please notify your caterer about rules). A

clean up fee will be assessed if the building manager determines that the area was not properly maintained and cleaned

18.—— Ruritan consumable supplies are not included as part of your lease, i.e. Cups, napkins, plates, plastic utensils, trash bags and other club supplies. If the building manager determines that club supplies have been used, the lessee will be charged for those items. Ruritan club equipment i.e. pots, pans, knives, chairs, and tables will **not** be loaned out or removed from the club building by anyone.

19.—— At time of key pick up, there will be a separate form to be signed for an automated external defibrillator (AED) device located on the front wall next to the light switches. This form will be signed by building manager and lessee at both times of key pick up and again when inspection of the building cleanup is completed. **This is to assure the seal hasn't been broken.**

20.—— Lessee is to make sure all interior lights within the lessee's rental area and all cooking appliances (if applicable) have been turned off before closing their event.

Physical Address for ABC License

Piankatank Ruritan Club
7138 Buckley Hall Road
Hudgins, Virginia 23076

Piankatank Ruritan Club Rental Agreement

This agreement is entered into between the Piankatank Ruritan Club (lessor) and: name of the organization or arranger (lessee) _____

Address _____

Phone numbers: (w) _____ (h) _____ name of contact _____

Date of function _____ type of function _____

Security deposit: \$250/day, Rental Rate _____ Weekday \$250 or Fri, Sat or Sunday \$500

Early entry fee \$75 _____

Late check out fee \$75 _____

Due now \$ _____

Due 4 weeks prior to event \$ _____

The Piankatank Ruritan Club has been declared a non-smoking facility

The lessee will provide their own liability insurance, the Piankatank Ruritan Club's liability insurance does not cover rental events, participants, or attendees whether invited or not. Lessees are responsible for ensuring the sponsoring organization or individual's homeowner policy covers each rental event and their patrons. By signing this agreement you agree to indemnify the lessor from all costs, suits, and damages which may be incurred by or on behalf of patrons or guests in connection with your use of the Piankatank Ruritan Club. Initials _____

The ABC banquet license must be received by the lessor, at least four (4) weeks prior to the rental date. In the event of an accident either at our facility or off and it is determined that the use of alcohol attributed to that accident our insurance will not afford protection to you, your patrons, your guest or your attendees whether invited or not. By signing this agreement you agree to indemnify the lessor from all costs, suits, claims, and damages which may be incurred by or on behalf of patrons, guests or attendees whether invited or not in connection with your use of the Piankatank Ruritan Club.

Initials _____

Lessee agrees not to sublet the premises or any part thereof. Nor make any alterations, additions, or improvements to the premises. Activities of a hazardous nature, either

~~inside or outside will not be allowed.~~

~~Initials _____~~

~~Lessee, agrees to be responsible for any and all damages to the premises and to fully and completely indemnify lessor in the event of such damages. Initials _____~~

~~Lessee acknowledges receipt of a copy of the rules for the rental of the Piankatank Ruritan Club building, which are incorporated herein by enclosure (1). A violation of any of such rules shall constitute default by lessee. Such default shall constitute grounds for immediate cancellation of this agreement **AND EVENT** by lessor. Initials _____~~

~~A signed contract with a \$250.00 security deposit shall be obtained for each booking. -~~

~~The security deposit will be forfeited if booking is canceled by the lessee within 60 days prior to the event date. **The rental fee shall be paid in full at least 4 weeks prior to the event date,** the rental fee will be forfeited for last minute cancellations, however the security deposit will be returned. The security deposit will be refunded within 10 working days after the event providing the building and grounds are left in the same conditions as received. See item (4). Initials _____~~

~~Make checks payable to the **Piankatank Ruritan Club**. The Piankatank Ruritan reserves the right to cancel this contract with just cause within a 48 hour notice. —~~

Lessee _____ Piankatank Ruritan club

Print name _____ print-
name _____

Signature _____
signature _____

Date _____
Date _____

~~**HOW DID YOU LEARN ABOUT THE PIANKATANK RURITAN CLUB RENTAL?—**~~

~~CHECK ONE PLEASE.—~~

- ~~☐ WWW.PIANKATANKRURITANCLUB.COM—~~
~~☐ NEWSPAPER AD—~~
~~☐ FYI MATHEWS AD—~~
~~☐ WORD OF MOUTH—~~
~~☐ OTHER _____~~

Please sign and return w/deposit ~~Piankatank Ruritan Club~~
~~7138 Buckley Hall Road~~
~~P. O. Box 11~~
~~Hudgins, Virginia 23076~~

Automated External Defibrillator (AED) device at the Piankatank Ruritan Club

The Piankatank Ruritan Club has an AED device available for emergencies. The AED is located in the ~~white~~ beside the front door. ~~The lessee will be responsible for the AED during their event. The seal installed on the box will indicate if the AED box has been opened. We will inspect the AED box before with the renter and after the event to confirm that the AED has not been tampered with. If the seal of the AED box was broken from the time of the pre-event inspection with the lessee and after the event by the club manager, then the lessee will be responsible for paying to have the AED re-certified. This device is meant to save lives and we hope no one tampers with it. So please inform members of your group that the AED is there if needed. The AED is easy to use. Simply following the instructions included with the device. Before operating the AED CALL 911, once the rescue squad arrives they will take over.~~

Before event inspection date _____

Lessee print name _____ building
manager _____

Lessee sign name _____ building
manger _____

After event inspection date _____

Lessee print name _____ building-
manger _____
Lessee sign name _____ building-
manager _____

~~Piankatank Ruritan Club~~ ~~2025 rental rates~~

~~\$250.00 deposit (refundable) if all requirements
are meet.~~

~~\$500.00 all day on Friday, Saturday, or Sunday~~

~~\$250 All day Monday-Thursday~~

~~**\$75.00 early access fee:** Example; if you rent the club on-
Saturday and you would need extra time to set up you can pay an additional
\$75.00 and have Friday to come in early. **This is provided that no one has
rented the club that day.** To assure you have the early check-in, you must
book it the day you book your event.~~

~~\$75.00 late check out fee:~~ This gives you until 9pm the day after your event to clean up and return the key. For example, you rent the building on a Saturday you can pay an additional \$75.00 for late check out. You have until 9 pm the next day to clean up, check out and return key. **This is provided that no one has rented the club that day.** To assure you have the late check out, you must book it the day you book your event.

~~Key pick up for building will be coordinated with the building manager. In most cases it will be available for pickup after 5 pm the day before the rental. If you paid for early access, the key will be available for pickup after 5pm on the day before your early access date. You are not allowed to enter the building until the day of your rental.~~

~~Building key return will be coordinated with building manager. Building must be cleaned up, checked out, and key returned no later than 6 am the following morning.~~